

economy. That condition is bearish for stocks, as it leaves little room for an increase in optimism to support further buying. It is also bearish for the economy, as extremes in sentiment usually are.

OUTLOOK

The economy may remain expansive for a few more months, but it will thereafter be vulnerable to a dramatic contraction on the heels of a decline in investment values nearly across the board. Panels of economists have recently asserted that the chances of a recession are one in ten. Given the Elliott Wave outlook, I would say that the chances of a *depression* are nine in ten, so one might say that I agree with the consensus. A recently published book well reflects the breadth of this optimism. *The Great Boom Ahead* is endorsed by three authors, four CEOs, five corporate presidents, three economists/investment planners, one Group Chairman and a professor. The thesis of this book would have been well-timed in 1982; 1993 is another question. The author states flatly, "We are going to scream out of this recession." This statement may yet prove accurate, though not in the way the author intends.

The events and conditions chronicled in this chapter are subtle precursors of a trend change of very large degree, in this case Grand Supercycle. This fact is of paramount importance to understanding why the next contraction will not merely be an expression of what economists call "the business cycle." It will unfold very differently from the typical recessions of the past fifty years. Despite today's favorable reports and the linearly extrapolated bullish outlook by economists, the patterns shown in this chapter indicate that the economy is at the crest of a major cycle.

This fact explains why the current recovery is so weak. Previous business cycle upturns in the 48 years preceding 1990 were reinforced by the larger uptrend. With the longer economic cycle now pointing *down*, the shorter business cycle has been fighting that backdrop for the past four years, thus producing mixed economic figures within a struggling, fragile, selective recovery. Ever since the business cycle turned up in early 1991, economists have repeatedly kindled hopes that a major boom is developing. The true situation is better expressed by the schematic in Figure 13-31, which places the recent expression of the business cycle in the context of the larger picture. If my analysis is correct, the contraction of 1990-1991(3) separated two highs within a major cyclic top in economic